



Teradyne Inc (TER) — Research Summary

Technology | Semiconductor Equipment & Materials | 2026-09-30

Price: \$400.91

Signal: BUY (7.52/10)

Market: bull_tech

Teradyne Inc (TER) — Equity Research Summary

Sector: Technology | **Industry:** Semiconductor Equipment & Materials

Price: \$400.91 | **Market Cap:** \$63.0B | **52-Week Range:** \$131.49 – \$487.72

1. Company Overview & Investment Thesis

Teradyne designs and sells automated test equipment used to validate semiconductors, electronics, and devices, and also operates a growing industrial robotics business. The stock is compelling right now because its testing systems have become essential infrastructure for the AI boom — advanced chips, high-speed memory, and data-center hardware all require rigorous testing, placing Teradyne directly in the path of surging AI capital spending.

2. Fundamental Snapshot

- **Valuation:** Trailing P/E of 55.3x and forward P/E of 30.7x signal rich expectations, though the sharp step-down implies strong forecasted earnings growth. EV/EBITDA sits near 41x and the company trades at roughly 14x sales — premium multiples that reflect both quality and AI optimism.
- **Earnings trend:** Teradyne has beaten estimates in all four recent quarters, often by wide margins (+21% in June 2026, +30% in December 2025). This is a consistent, accelerating beat pattern.
- **Revenue & margins:** Recent quarterly revenue grew between +22.7% and +66.7% year-over-year. Profitability is excellent, with gross margins near 60%, operating margins in the 33–37% range, and a 25.8% net profit margin.
- **Balance sheet:** Essentially net cash — \$0.4B cash against just \$0.1B debt, with a negligible D/E ratio of 0.03. Financially pristine.

3. Technical Outlook

The stock trades at roughly **82% of its 52-week range**, sitting well above its lows (\$131) but about 18% below its recent high (\$488). Momentum has been building: the stock rose steadily through September on a wave of product

announcements and partnership news, repeatedly outperforming the broader market on up days. The pullback from the high suggests some profit-taking after a powerful run (up ~44% in six months).

- **Support:** Watch the ~\$389 area tested in late September; a deeper floor sits far below near prior consolidation zones.
- **Resistance:** The 52-week high near **\$488** is the clear overhead level to reclaim.

4. News & Sentiment

Overall sentiment: Slightly Bullish.

Key themes from recent coverage:

- **AI-driven product momentum:** Teradyne launched the Magnum E2 memory tester for AI data centers and new UltraFLEXplus instruments, directly tying its growth to AI and high-performance computing demand.
- **Strategic expansion:** A multi-year partnership with GS Microelectronics to build a Silicon Valley test center, plus India expansion, signals aggressive positioning across hyperscaler AI, automotive, and silicon photonics.
- **Valuation debate:** Several articles openly question whether the stock is "fully valued" after its rally — the bull case rests on execution, while skeptics argue expectations are already high.

The prevailing market narrative frames Teradyne as a legitimate AI infrastructure beneficiary, but one where the easy gains may be behind it and continued delivery is required to justify the price.

5. Bottom Line

- **Aerondight Systems Signal: BUY (7.52/10)**
- **Thesis:** Teradyne is a high-quality, AI-leveraged testing leader with pristine finances and accelerating earnings, though its premium valuation demands continued flawless execution.
- **Upcoming catalyst:** Next quarterly earnings report — given four straight beats, guidance direction will be the key driver. Adoption traction for new products (Magnum E2, UltraFLEXplus) is a secondary catalyst.
- **Risk level: Medium-High.** The business quality is strong and the balance sheet is excellent, but the elevated valuation, high beta (1.78), and dependence on sustained AI spending create meaningful downside risk if growth decelerates or sentiment cools.

Analyst consensus: 11 Buy / 4 Hold / 2 Sell, with a \$446 price target implying roughly +11% upside.

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